

DEPARTMENT OF VETERANS AFFAIRS

SOLE SOURCE JUSTIFICATION UNDER SIMPLIFIED PROCEDURES FOR CERTAIN COMMERCIAL ITEMS IN ACCORDANCE WITH FAR 13.5

Acquisition Plan Action ID: 36C242-25-AP-2218

1. **Contracting Activity:** Department of Veterans Affairs, VISN 02, James J. Peters VA Medical Center, 130 W. Kingsbridge Road, Bronx, NY 10468; New Jersey Healthcare System, East Orange Campus, 385 Tremont Avenue, East Orange, NJ 07018; Hudson Valley Healthcare System Castle Point 41 Castle Point Road, Wappinger Falls, NY 12590, New York Harbor Healthcare System, Margaret Cochran Corbin VA Medical Center, 423 East 23rd Street, New York, NY 10010; Northport VA Medical Center, 79 Middleville Road, Northport, NY 11768; have submitted a procurement request to the VA Network Contracting Office 2, 2094 Albany Post Road Montrose, NY 10548. VA 2237 Transaction #s: 526-25-3-145-0103, 561-25-3-040-0069, 620-25-3-124-0041, 630-25-3-035-0165, 632-25-3-080-0073.
2. **Nature and/or Description of the Action Being Processed:** This procurement is for PCR Molecular Testing, in accordance with FAR 13.5 Simplified Procedures for Certain Commercial Items and specifically FAR 13.501 Special Documentation Requirements, where acquisitions conducted under Simplified Acquisition Procedures are exempt from the requirements of FAR Part 6, but still require a justification using the format of FAR 6.303-2. The action under this justification is to purchase as a follow-on, sole source, firm-fixed price contract Cepheid brand Polymerase Chain Reaction (PCR) Molecular Testing equipment, reagents, accessories, and lease and preventative maintenance service for one year.
3. **Description of Supplies/Services Required to Meet the Agency's Needs:** This requirement is for continued use of government-owned and contractor-provided Cepheid GeneXpert and Infinity instruments that provide Polymerase Chain Reaction (PCR) Molecular Diagnostic Testing. The following VA medical facilities own its instruments: East Orange VAMC (secondary platform only), Castle Point VAMC (no secondary platform), FDR VA Hospital (no secondary platform), Margaret Cochran Corbin VAMC (secondary platform only), and Brooklyn VAMC (no secondary platform). The following VA medical facilities will be provided Contractor-owned instruments, payable on a monthly lease and preventative maintenance agreement: James J. Peters VAMC (primary and secondary platforms), East Orange VAMC (primary platform only), Margaret Cochran Corbin VAMC (primary platform only), and Northport VAMC (primary and secondary platforms). All of the equipment requires a lease and preventative maintenance service. For maintenance, this includes regularly scheduled inspections, equipment servicing, and preemptive repairs should the equipment suffer any unexpected failures or down-time.

A contractor-provided secondary analyzer instrument is utilized at both James J. Peters and Northport VAMC to facilitate testing of one or two assays during evening and night shifts when the Molecular department is closed.

All VA medical facilities on this contract require molecular reagent kits. The contractor is required to provide, according to the specifications outlined below, testing supplies for MRSA, C.difficile (with or without epidemic strain 027), COVID-19, influenza, RSV, Chlamydia trachomatis/Neisseria gonorrhea, MTB and RIF resistance, strep group A, T.vaginalis, Carbapenemase producing organism identification, MRSA/S.aureus blood culture identification, MVP identification, and all necessary equipment, reagents, standards, controls, supplies, consumable/disposable items, parts, accessories, and cabinets to support or house the analyzer (if necessary). Additionally, the contractor must supply universal interface equipment and any other items required for the proper operation of PCR Molecular testing, facilitating the generation of Cost-Per-Kit (CPK) services.

The VA requires the molecular reagent kits of the following tests on a single platform on the primary analyzer:

- a. Methicillin Resistant Staphylococcus Aureus (MRSA)
- b. Clostridium difficile with identification of 027 strain
- c. Influenza A, B, RSV
- d. Chlamydia trachomatis/Neisseria gonorrhea
- e. Mycobacterium tuberculosis complex
- f. Streptococcus pyogenes
- g. Trichomonas Vaginalis
- h. Carbapenemase Producing organism identification with differentiation among the major families of resistant genes
- i. MRSA/SA Blood Culture identification

The VA requires the molecular reagent kits of the following test on a secondary analyzer:

- a. Clostridium difficile with identification of 027 strain
- b. Influenza A, B, RSV

The period of performance for this contract action is from [REDACTED]

Estimated value: [REDACTED]

Anticipated award date is April 01, 2025.

4. Statutory Authority Permitting Restricted Competition:

FAR 13.5 Simplified Procedures for Certain Commercial Items. The statutory authority for applying the Simplified Procedures for Commercial Items of FAR 13.5 is 41 U.S.C. § 1901 and is implemented by FAR 13.106-1(b)(2) for restricting competition on this procurement. **Competition is restricted on this procurement for the reason below:**

- (X) Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements

Effective Date: 11/15/24

Page 2 of 6

REVISION: 01

Acquisition ID#: 36C242-25-AP-2218

- () Unusual and Compelling Urgency
- () Industrial Mobilization, Engineering, Developmental or Research Capability or Expert Services
- () International Agreement
- () Authorized or Required by Statute
- () National Security
- () Public Interest

5. Demonstration that the Contractor's Unique Qualifications or Nature of the Acquisition Requires the Use of the Authority Cited Above (applicability of authority): Cepheid is currently the only company that can provide the supply/services outlined in Section III. The Polymerase Chain Reaction (PCR) Molecular Diagnostic testing platform utilizes a single-use-X-pert test cartridge. This fully automated device handles sample extraction, PCR amplification, and detection, offering a simple workflow with minimal hands-on time and the ability to operate without constant supervision. It features an easy-to-use random-access system designed for on-demand testing. Results from the PCR testing is fast and accurate, usually available in under an hour, and the system can interface with a Laboratory Information System (LIS) and electronic medical records (EMR).

The incumbent contractor, Cepheid, is already delivering these services, and a contract needs to be established for continued use. This requirement will allow Cepheid to continue providing highly specialized patient care testing for the laboratory department without any interruptions.

Furthermore, the VA medical centers subject to this contract action are currently procuring the Cepheid Xpress in-Vitro Diagnostic molecular reagent kits that test for COV-2/FLU/RSV (Mfr. Part No. XPRS4PLEX-10) from Defense Logistics Agency's (DLA) Electronic Catalog (ECAT) but has single purchase limitations that make ordering inefficient and excessively frequent. Including these kits on this contract will increase efficiency by allowing the VA medical centers to order larger quantities of kits per order and much less frequently than the weekly ECAT ordering.

If this one-year requirement is not approved, the laboratory department will continue ordering supplies inefficiently, and cause interruption of lease and preventative maintenance services. The contractor has an active SAM registration, and their performance on the current contract has been satisfactory or better. For these reasons, it is in the Government's best interest to ensure continued service from the incumbent contractor until a new contract is awarded.

- 6. Description of Efforts Made to ensure that offers are solicited from as many potential sources as deemed practicable:** It is not feasible to obtain competition based on market research, as the criteria for the "Only Responsible source" under FAR Acquisition Regulation (FAR) is met, as outlined in sections 2 and 5 of this justification. For requirements after March 31, 2026, a procurement package is currently being developed that will incorporate findings from

market research. That package will be used to identify potential sources and determine an appropriate procurement strategy.

7. **Determination by the CO that the Anticipated Cost to the Government will be Fair and Reasonable:** In accordance with (IAW) FAR 13.106-3(a)(2)(ii), the Contracting Officer (CO) has determined that our proposed prices are not only fair but also competitive. This assessment was made by comparing our price with the lease and preventative maintenance service for GeneXpert Infinity 48-48 under VANECA BPA# [REDACTED]. The lease and preventative maintenance service for one year is priced at \$[REDACTED] while our contract price is [REDACTED] for the same service, representing a 20% lower cost.

Additionally, the CO compared the reagent catalog number #XPRS4PLEX for Xpress COVID-2/FLU/RSV plus testing, listed in Supply Chain Master Catalog (SCMC) under contract #36C26124D0078, which costs \$[REDACTED] per test. Our contract also has this reagent at the same price of [REDACTED]. CO also compared reagent catalog number #GXTV-10 for T.Vaginalis infection testing, listed in Supply Chain Master Catalog (SCMC) under contract #36C25921A0003, which costs \$[REDACTED] per kit. Our contract also has this reagent at the same price of \$[REDACTED]. This indicates that our prices for lease and preventative maintenance services as well as reagent supplies are either lower or equal to current market rates, reinforcing that they are fair and reasonable.

8. **Description of the Market Research Conducted and the Results, or a Statement of the Reasons Market Research Was Not Conducted:** A quick search was conducted in SBA veterans' small business certification (VetCert), dynamics small business search tool (DSBS) utilizing NAICS 334516, as well as an intent to sole source posting to contract opportunities (Sam.gov). The results of the search in VetCert revealed that there is a potential for 234 SD/VOSB sources. The search in dynamics small business search tool revealed a potential of 284 SDVOSB, 45 VOSB, and 4 potential small businesses that could provide supplies/services. An intent to sole source was posted on contract opportunities from March 13, 2025, through March 20, 2025, which resulted in zero (0) responses. Cepheid is the Original Equipment Manufacturer (OEM) of the equipment and supplies and has supplied Contracting Officer with a letter confirming that fact. The equipment is proprietary and no other reagents, accessories, vendor leased, or preventative maintenance service would be compatible with the equipment for this requirement. The Contracting Officer concludes, based on market research, that there were insufficient SDVOSB or VOSB with both interest and capability to meet the VA Rule of Two as defined by VAAR 819.70. Therefore, a set-aside for SDVOSB or VOSB providers is not a viable strategy at this time. It is determined that competition would not be appropriate for this need because of the "Only one source responsible source" under FAR as outlined in sections 2 and 5 of this justification. Recent past performance was discussed with the Contracting Officer's Representative (COR), and no issues were found.

Additionally, the Buy American Act (BAA) applies. A review of the vendor's Buy American Certificate under FAR 52.212-3(f), will be conducted to assess compliance with BAA.

9. Any Other Facts Supporting the Use of Other than Full and Open Competition: None.

10. Listing of Sources that Expressed, in Writing, an Interest in the Acquisition:

Cepheid
UEI: W6HQTMBW9Q28
904 East Caribbean Drive
Sunnyvale, CA 94089

11. A Statement of the Actions, if any, the Agency May Take to Remove or Overcome any Barriers to Competition before Making subsequent acquisitions for the supplies or services required: The participating station labs have established a committee to conduct a market survey, identify changes in their requirements, and create a procurement package for a new long-term requirement. The committee is close to finalizing the development of that procurement package.

12. Requirements Certification: I certify that the requirement outlined in this justification is a Bona Fide Need of the Department of Veterans Affairs and that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.

[Redacted Signature]

[Redacted Name]

Date

Supervisor, Microbiology Laboratory
East Orange VA Medical Center

13. Approvals in accordance with the [VHAPM Part 806.3 OFOC SOP](#):

a. Contracting Officer or Designee's Certification (required): I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.

[Redacted Signature]

[Redacted Name]

Date

Contracting Officer
FDR VA Hospital

- b. **One Level Above the Contracting Officer (Required over SAT but not exceeding \$750K):** I certify the justification meets requirements for other than full and open competition.

[Redacted Signature]

Date

NCO 2 Supply Team Branch Chief
FDR VA Hospital

- c. **VHA RPO HCA Review and Approval:** I have reviewed the foregoing justification and find it to be complete and accurate to the best of my knowledge and belief and approve (\$750K to \$7.5 million (or \$15.0 million for acquisitions described in FAR 13.500(c)) for other than full and open competition.

[Redacted Signature]

Executive Director, Regional Procurement Office East

No Other signatures are required.